



Quarterly Investment Report

Q1 2024 - Thames Water UPS (Closed Section)

Portfolio Summary

Asset Class	Allocation	Performance (Q)	12m Performance
LDI	52.6%	+2.43%	+4.21%
Credit	20.5%	-0.10%	+4.81%
Equities	9.0%	+4.00%	-1.38%
Property	8.0%	-1.23%	-4.80%
Cash	6.6%	+1.12%	+2.18%

Market Commentary

During Q1 2024, gilt yields moved by approximately -36bp across the curve. The scheme's LDI programme continued to deliver its hedging objective with a tracking error within the agreed tolerance band.

The Investment Manager has maintained a neutral positioning against the benchmark, with a modest overweight to investment-grade credit reflecting attractive spread levels.

Compliance with SIP

All allocations remained within the tolerance bands specified in the Statement of Investment Principles throughout the quarter.